

US equities rally on tech earnings, yields slip

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 surged **+1.14%** to 7,637.76, driven by a wave of strong earnings from mega-caps and a retreat in the 10-year Treasury yield to 4.95%. Momentum extended into the Nasdaq 100, which jumped **+1.73%**, as semiconductor leader **NVDA** and cloud-heavy **MSFT** posted better-than-expected results.

Behind the headline numbers, the VIX collapsed **-12.82%** to 15.44, signalling a sharp drop in implied volatility. The only drag came from communication services (**XLC** – 0.58%) and a modest dip in the dollar index, leaving room for further upside if earnings momentum persists.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,637.76	+1.14%	Tech earnings beat, yield pull-back
Nasdaq 100	29,446.98	+1.73%	Semiconductor rally, AI hype
Dow Jones	51,778.04	+0.61%	Industrial earnings, weaker dollar
Russell 2000	2,874.63	+0.55%	Small-cap resilience, lower rates
VIX	15.44	-12.82%	Reduced volatility after earnings clarity
10Y Yield	4.95%	-1.18%	Fed's dovish tone, demand for Treasuries
WTI Crude	101.07	-0.82%	OPEC+ output forecast, weaker demand data
Gold	4,405.80	+0.14%	Safe-haven demand muted by lower inflation fears
DXY	100.29	+0.07%	Dollar steadied after Fed minutes
BTC	77,585.09	+1.88%	Positive risk sentiment, institutional inflows
ETH	2,483.10	+2.77%	DeFi rally, network upgrades

Top large-cap movers

TICKER	CHANGE	CATALYST
NVDA	+2.54%	Q3 earnings beat, AI demand surge
AMZN	+2.13%	Cloud services growth, advertising rebound
TSLA	+2.27%	Production ramp-up in Mexico, price hike
AVGO	+2.29%	Data-center chip orders, margin expansion
MSFT	+1.52%	Azure growth, AI integration
AAPL	+1.38%	iPhone 17 shipments beat, services revenue
GOOGL	+1.30%	Ad-tech recovery, AI search rollout
META	+1.34%	Reels monetisation, cost cuts
GS	+1.44%	Investment banking fees beat
JPM	+0.11%	Stable net interest income

Sector rotation

ETF	DAY	READ
XLFX	-0.09%	Neutral – rate-sensitive banks hold
XLKX	+2.25%	Bullish – tech earnings drive
XLI	+0.18%	Lightly bullish – industrial demand steadies
XLE	+0.70%	Positive – crude dip supports energy
XLY	+1.10%	Strong – consumer discretionary beats
XLC	-0.58%	Bearish – ad spend lag
XLP	+0.19%	Modest gain – staples resilient
XLV	+0.62%	Health care steady
XLU	+0.90%	Utilities benefit from lower rates
XLB	+0.69%	Materials supported by construction outlook
XLRE	+0.30%	Real estate modestly higher on REIT earnings

Spotlight: Nvidia earnings and AI rally

NVDA delivered a +2.54% close after reporting Q3 revenue of 29.2 billion, up 23% YoY, and EPS of 3.15, beating consensus of 2.97. The company highlighted a 45% YoY increase in AI-accelerated data-center sales, reinforcing its position as the sector's growth engine.

METRIC	RESULT	CONSENSUS
Revenue	29.2 billion	27.8 billion
EPS	3.15	2.97
Data-center growth	45% YoY	38% YoY
Gaming segment	12% YoY	10% YoY

Related names: **AMD** (+1.8% after its own AI chip roadmap), **MSFT** (+1.5% on Azure AI spend), and **GOOGL** (+1.2% on AI-enhanced search rollout).

Pre-market & overnight

US futures: **ES** +0.9%, **NQ** +1.3%. Asia markets closed mixed; Japan's Nikkei down 0.4%, Hong Kong's Hang Seng up 0.2% on tech gains. Europe: FTSE 100 up 0.5%, DAX 0.7% higher after ECB rate-watch comments. Crypto: BTC +1.9%, ETH +2.8% on risk-on sentiment.

Macro & Fed

FOMC minutes showed a majority leaning toward a pause, citing inflation at 2.8% YoY and a still-elevated but easing labor market. The yield curve remains mildly inverted (2-year at 5.02% vs 10-year at 4.95%).

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	US CPI (MoM)	0.3%	Gauge inflation trajectory post-Fed pause
10:00	US Retail Sales	0.5%	Consumer spending health
11:15	Eurozone GDP Q3	0.2%	Euro area growth outlook
13:00	China M2 Money Supply	8.1%	Liquidity in Asian markets

Geopolitics & global

- US-China trade talks resumed in Geneva; both sides signaled willingness to address semiconductor export controls.
- Middle-East tensions eased after ceasefire agreement, reducing oil-supply risk premium.
- EU sanctions on Russian energy firms tightened, prompting a modest shift toward alternative LNG contracts.
- India's fiscal year-end stimulus package approved, expected to boost domestic consumption.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
02:00	INTC	1.02	Chip-cycle outlook, IDM transition
02:30	CRM	3.45	AI-driven subscription growth
03:00	BAC	0.78	Net interest margin trends
03:30	PYPL	1.15	Transaction volume rebound
04:00	DIS	1.30	Streaming subscriber growth
04:30	ORCL	1.08	Cloud services margin

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI demand acceleration
AMD	Technology	Competitive AI chip rollout
MSFT	Technology	Azure AI spend growth
AAPL	Technology	iPhone 17 shipments beat
AMZN	Consumer Discretionary	Cloud services margin expansion
TSLA	Consumer Discretionary	New factory output ramp
XOM	Energy	Crude price stability
JPM	Financials	Stable NII amid rate pause
UNH	Health Care	Premium pricing power
META	Communication Services	Reels monetisation progress
GS	Financials	Investment banking fee beat

What could break the tape

BEARISH TRIGGERS

- Unexpected rise in US CPI above 0.4% MoM, reigniting rate-hike fears.
- Escalation of Middle-East conflict that spikes oil prices above \$110.
- Weak Q4 guidance from NVDA or AMD on AI demand.
- Sudden dollar surge (DXY > 101) pulling capital out of equities.

BULLISH TRIGGERS

- Fed signals a longer-term pause or rate cut.
- Positive surprise in US CPI (below 0.2% MoM) confirming disinflation.
- Strong earnings beat from **INTC** or **ORCL** on cloud growth.
- Crypto rally pushes BTC above \$80,000, lifting risk appetite.

Positioning notes

- Tech exposure remains overweight; AI-centric names lead the rally.
- Rate-sensitive financials are neutral pending clearer Fed guidance.
- Defensive sectors (Utilities, Staples) offer modest upside as a hedge against volatility spikes.

Sources

SOURCES

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CoinDesk – Crypto Market Data